

Circular No. IMD/FII & C/ 25 /2007
January 19, 2007

To
All Foreign Institutional Investors, and
Custodians of Securities

Sub: FII investments in Debt Securities

SEBI vide Circular No. IMD/FII/20/2006 dated April 05, 2006 announced the increase in the cumulative debt investment limits from US \$1.75 billion to US \$2 billion and US \$0.5 billion to US \$1.5 billion for FII/Sub Account investments in Government Securities and Corporate Debt, respectively.

It has now been decided to further enhance the existing limit of US \$ 2 billion available for investment by FIIs in Government Securities/ T-Bills to US \$2.60 billion. The incremental limit of US \$ 0.6 billion is being added to the existing headroom of US \$55 million available for investment by 100% debt FIIs in Government Securities/ T-Bills.

The enhanced limit is being allocated among the 100% debt and general 70:30 FIIs/Sub Accounts in the following manner:

(figures in USD bn)

Type of FIIs	100% debt	70:30	Total permissible limit
<u>Existing limits</u>			
Govt. securities/ T-Bills	1.4	0.6	2.00
Corporate Debt	1.0	0.5	1.50
Total			3.50
<u>Revised Limits</u>			
Govt. securities/ T-Bills	2.00	0.6	2.60
Corporate Debt	1.0	0.5	1.50
Total			4.10

A copy of this circular is available at the web page “F.I.I.” on our website www.sebi.gov.in. The custodians are requested to bring the contents of this circular to the notice of their FII clients.

Yours faithfully,

Sangeeta Uchil
Deputy General Manager